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SECURITIES AND EXCHANGE BOARD OF INDIA

NOTIFICATION

Mumbai, the 20th day of February 2002

SECURITIES AND EXCHANGE BOARD OF INDIA

(STOCK BROKERS AND SUB-BROKERS)

(AMENDMENT) REGULATIONS, 2002

S.O. _____ (E). In exercise of powers conferred by sub-section (1) of section 30 of the Securities and Exchange Board of India Act 1992 (15 of 1992), the Securities and Exchange Board of India hereby makes the following regulations, namely:-

I These regulations may be called the Securities and Exchange Board of India (Stock Brokers and Sub-Brokers) (Amendment) Regulations, 2002.

II In Securities and Exchange Board of India (Stock Brokers and Sub-Brokers) Regulations, 1992 -

1. in regulation 16C, in sub-regulation (1), after clause (c), the following clause shall be inserted, namely: -

"(d) has any financial liability which is due and payable to the Board under these regulations."

(2) In Schedule III, -

(a) in paragraph 1,

- i. after the existing clause (b), the following clause shall be inserted, namely-

"(bb) Notwithstanding anything contained in clause (b) it is clarified that the fee shall be recoverable as computed as under:

(i) in respect of jobbing transactions that is to say all transactions which are squared off during the same day which have not been undertaken by the broker on behalf of clients, the fees shall be computed at the rate of one two hundredth of one percent in respect of the sale side of such transactions;

(ii) in respect of transactions in Government securities, the bonds issued by any Public Sector Undertaking and the units traded in a similar manner, the fee payable shall be computed at the rate of one thousandth of one percent of the turnover;

- i. in case of carry forward, renewal or badla transactions the fees shall be computed at the rate of one hundredth of one percent of the turnover and the reverse off setting transactions shall not be counted as part of the turnover;
- ii. if brokers are carrying out transactions in securities without reporting them to the stock exchange, those transactions shall be taken into account for the purpose of turnover and the fees shall be computed at the rate of one hundredth of one percent of the turnover;

(v) the trade put through on other stock exchanges shall be included in the turnover of that exchange if market for that security does not exist on the exchange of which he is a member and the fees shall be computed at the rate of one hundredth of one percent of the turnover;

- i. activity such as underwriting and collection of deposits shall not be taken into account for the purpose of calculating the turnover."

(ii) In clause (c) for the word "a" appearing after the words "rupees five thousand for" and before the words "block of five financial years" the word "every" shall be substituted.

(b) In paragraph 4, the following Explanation shall be inserted, namely:-

"Explanation: It is clarified that the conversion of individual or partnership membership card of the exchange into corporate entity shall be deemed to be in continuation of the old entity and no fee shall be collected again from the converted corporate entity for the period for which the erstwhile entity has paid the fee as per the regulations."

[F. No. SEBI/LE/ /2002]

D.R. MEHTA

Chairman

Footnote:

1. Securities and Exchange Board of India (Stock Brokers and Sub-Brokers) Regulations, 1992, the principal Regulations, was published in the Gazette of India on October 23, 1992 vide GSR No.780 (E).
2. It was subsequently amended on:
 - a. November 28, 1995 by the SEBI (Payment of Fees) (Amendment) Regulations, 1995 vide S.O. No. 939(E).
 - b. January 5, 1998 by SEBI (Stock Brokers and Sub-Brokers) (Amendment) Regulations, 1998 vide S.O. No. 13(E).
 - c. January 21, 1998 by SEBI (Stock Brokers and Sub-Brokers) (Second Amendment) Regulations, 1998 vide S.O. No. 75 (E).
 - d. December 16, 1998 by SEBI (Stock Brokers and Sub-Brokers) (Third Amendment) Regulations, 1998 vide S.O. No.1078 (E).
 - e. July 6, 1999 by SEBI (Stock Brokers and Sub-Brokers) (Amendment) Regulations, 1999 vide S.O. No. 541(E).
 - f. March 14, 2000 by SEBI (Stock Brokers and Sub-Brokers) (Amendment) Regulations, 2000 vide S.O. No.234(E).
 - g. March 28, 2000 by SEBI (Appeal to Securities Appellate Tribunal) (Amendment) Regulations, 2000 vide S.O. No.278 (E).
 - h. August 30, 2000 by SEBI (Stock Brokers and Sub-Brokers) (Second Amendment) Regulations, 2000 vide S.O. No.787 (E).
 - i. May 29, 2001 by SEBI (Investment Advice by Intermediaries) (Amendment) Regulations, 2001 vide S.O. No.476(E).
 - j. November 15, 2001 by SEBI (Stock Brokers and Sub-brokers) (Amendment) Regulations, 2001 vide S.O. No.1128(E).